

The Raju EMPIRE

Satyam Chairman Ramalinga Raju and his family own 43 other companies, besides Satyam, Maytas Properties and Maytas Infra



Satyam Computers

Set up in 1987, the fourth largest software house of the country has six subsidiaries and employs 52,865 professionals. It reported a turnover of Rs 8,473.49 crore at the end of March 2008. The net profit after tax was Rs.1,687.89 crore, a growth of 20.2 per cent over the previous financial year. The Rajus own 8.6 per cent of the company.

MARKET CAPITALISATION: RS 10,930 CRORE



Maytas Infra

A listed infrastructure development company, it employs over 3,000 people. The Rajus hold 36.64 per cent while institutional holding is 10.92 per cent. It chalked up a turnover of Rs 1,660 crore in the last financial year with a profit after tax of nearly Rs 100 crore. Satyam planned to acquire 51 per cent stake for Rs 1,440 crore or \$0.3 billion.

VALUATION: RS 2,824 CRORE



Maytas Properties

Founded in 2005, it has a land bank of 6,800 acres. It has clearances for three IT SEZs based on 148 acres. An undisclosed stake is held by Infinite India Investment Management, a realty fund jointly promoted by JM Financial and US-based SRM Investments, which invested Rs 600 crore in February.

VALUATION: RS 6,240 CRORE OR \$1.3 BILLION



A. PRABHAKAR RAO

WHY DID HE DO IT? The scenarios that might have prompted Raju to attempt the controversial buyout

Scenario 1

The theory was to enable Satyam Computer Services to derisk through diversification. The acquisition could have been an attempt to transfer funds from Satyam and bail out the Raju family who own 36.6 per cent of Maytas Infra and 35 per cent of Maytas Properties.

Scenario 2

Cash crunch limited the options of Maytas Infra to raise funds for the Hyderabad Metro Rail project where it has pledged to pay the Andhra Pradesh Government Rs 30,000 crore in 35 years. The acquisition would afford Maytas shelter under the Satyam balance sheet.

Scenario 3

Stave off takeover attempts and a potential loss if UK-based Upaid Systems won its case in a US court where Satyam has been charged with forgery and fraud. Defeat in the case which comes up for hearing in 2009 would mean a pay-out of \$1 billion.